oppose that happiness."[2] For Bentham, "every action whatsoever" seeks to maximize utility. Happiness, a subjective experience, is the ultimate human concern—rendering impossible any moral or economic calculation entirely devoid of emotion.

Smith, Bentham, and others recognized the role of psychological idiosyncrasies in economic behavior, but their consensus lost ground over the course of the next century. By the 1870s, three famous economists began to introduce the revolutionary neoclassical framework. William Stanley Jevons's *Theory of Political Economy* (1871), Carl Menger's *Principles of Economics* (1871), and Leon Walras's *Elements of Pure Economics* (1874 to 1877) defined economics as the study of the allocation of scarce resources among competing forces. Neoclassical theory sought equilibrium solutions whereby individuals maximized marginal utility, subject to situational constraints. Regularities in economies derived from the uniform, simultaneous behavior of individuals optimizing their marginal gains; and large-scale economic phenomena could be explained by simply aggregating the behavior of these individuals. Neoclassical economists distanced themselves from psychology, reframing their discipline as a quantitative science that deduced explanations of economic behavior from assumptions regarding the nature of economic agents.

Pursuing a simple model suited to the neoclassical focus on profit maximization, economists of this period conceived *Homo economicus,* or rational economic man, to serve as a mathematical representation of an individual economic actor. Based on the assumption that individuals make perfectly rational economic decisions, Homo economicus ignores important aspects of human reasoning.

## Rational Economic Man

Rational economic man (REM) describes a simple model of human behavior. REM strives to maximize his economic well-being, selecting strategies that are contingent on predetermined, utility-optimizing goals, on the information that REM possesses, and on any other postulated constraints. The amount of utility that REM associates with any given outcome is represented by the output of his algebraic utility function. Basically, REM is an individual who tries to achieve discretely specified goals to the most comprehensive, consistent extent possible while minimizing economic costs. REM's choices are dictated by his utility function. Often, predicting how REM will negotiate complex trade-offs, such as the pursuit of wages versus leisure, simply entails computing a derivative. REM ignores social values, unless adhering to them gives him pleasure (i.e., registers as a term expressed in his utility function).